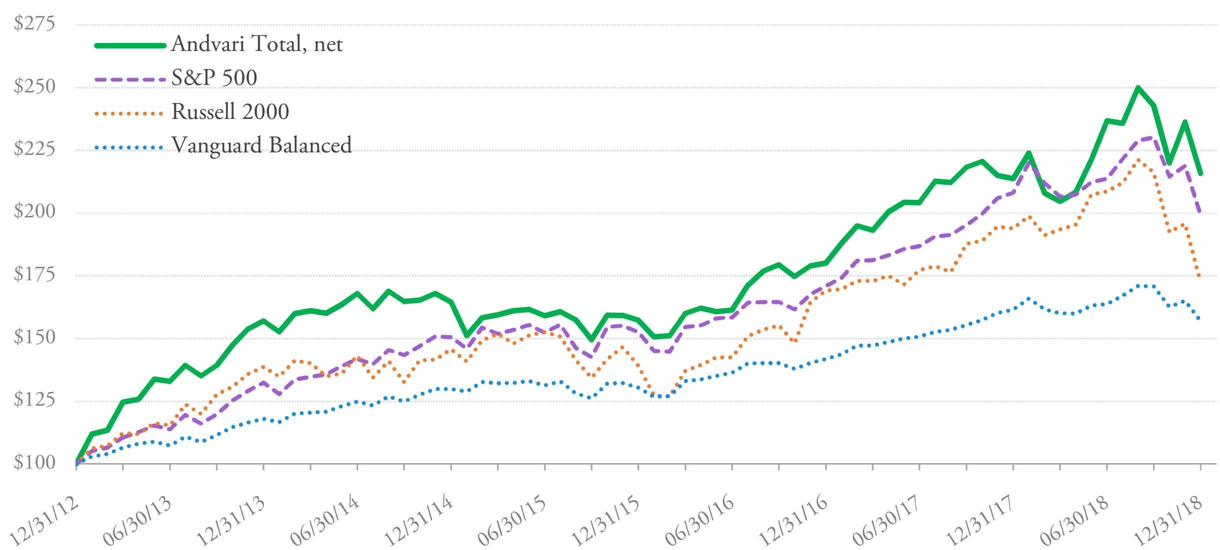
January 23, 2019

Dear Friends,

For the full year of 2018, Andvari was up **1%** while the S&P 500 was *down* 4.4%.[1] The table below shows Andvari's composite performance figures against three benchmarks while the chart shows the cumulative gains of hypothetical $100 investments.

	2013	*2014*	*2015*	*2016*	*2017*	*2018*	*Annualized Since Inception at 12/31/12*
Andvari Total, net[1]	**57.6%**	**4.8%**	**-4.4%**	**13.5%**	**18.9%**	**1.0%**	**13.8%**
S&P 500	32.4%	13.7%	1.4%	12.0%	21.8%	-4.4%	12.2%
Russell 2000 (IWM)	38.7%	5.0%	-4.5%	21.6%	14.6%	-11.1%	9.9%
Vanguard Balanced (VBIAX)	18.1%	10.0%	0.4%	2.7%	13.9%	-2.9%	8.0%



[1] "Andvari Total" represents all of Douglas Ott's investment accounts and all the discretionary accounts Andvari manages where it takes an active role in picking individual stocks and receives a fee. From 12/31/12 to 4/12/13 results included only Ott's personal and retirement accounts—the first Andvari clients transferred their accounts on 4/12/13. Andvari believes including Ott's performance figures for the first 4 months of 2013 is fair as he managed those assets similarly relative to later clients. Results are net of management fees (1% per annum), time-weighted, and includes all cash and other securities. The indexes and funds are listed as benchmarks and are total return figures and assumes dividends are reinvested and net of their respective underlying fees.

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The markets and Andvari's holdings declined significantly in the fourth quarter. Many factors seemed to contribute: trade tensions with China, worries over the Federal Reserve hiking interest rates too quickly, a volatile U.S. political environment, and Wall Street analysts ratcheting down earnings estimates for 2019. However, as the *Blondie* comic above suggests, I ought to say "I really don't know"—it is just impossible to say exactly which factors cause the market to go up or down.

What I *do* know with much greater certainty is that Andvari clients have ownership interests in a collection of high quality businesses run by excellent management teams. Virtually all these businesses have extremely predictable revenues with many of them growing at double-digit rates. All these businesses have ample capital to deploy at high rates of return, whether it's by reinvesting in their own business, acquiring other businesses, or repurchasing their own shares. By concentrating our investments in a small number of these types of businesses, it is far more likely that Andvari's performance over the long-run will exceed that of the market.

Andvari's Top Equity Holdings As of Dec. 31, 2018	**% of Net Assets**
Mesa Laboratories	17.3
Liberty Broadband	8.3
Appian	8.2
Upland Software	8.0
GCI Liberty	7.6
Roper Technologies	7.6
Mastercard	7.2
Workday	6.6
Alphabet	5.8
Visa	5.7

ANDVARI'S HOLDINGS

Andvari took advantage of the fourth quarter volatility to further upgrade client portfolios. First, I added to a few current holdings like Appian and Upland. Second, I made room for several new names: Mastercard, Workday, and Tyler Technologies.

Although Andvari clients have owned shares of Visa for several years, we should have also owned Mastercard. I corrected this oversight in the last few months. **Mastercard** operates the second-largest payment network in the world that connects banks, consumers, and merchants in over 210 countries. Over the years, revenues have grown at 13% compounded annually and free cash flow per share over 25%. This type of performance will likely continue far into the future as 85% of the world's transactions still occur in cash or check. People switching to credit and debit cards to purchase goods and services is a strong wind in the sails of both Mastercard and Visa.

Workday provides cloud-based software that helps large enterprises with human capital management (HCM), financial management, and business planning. The company was founded in 2005 by David Duffield and Aneel Bhusri after Oracle acquired their previous company Peoplesoft for $10.3 billion. Duffield and Bhusri have serious skin in the game given they own about 32% of Workday and control over 80% of the voting shares. Over the past 13 years they've grown the company from nothing to one that will soon have revenues of $2.8 billion.

Although revenue growth has decelerated from a torrid 68% in 2014 to an estimated 31% for 2018, Workday will continue to grow revenues north of 20% for many years. First, the company has a long record of taking share in an $80 billion addressable market. For example, the growth rate for HCM software has been 13% and Workday's growth rate has been 2.5 times the market. Second, cloud adoption in Workday's software verticals are still quite low: 22% of HCM software is cloud-based versus 78% on-premise. It's only a matter of time before most large enterprises switch to a cloud offering to reduce their IT expenses and to take advantage of easier and more frequent software updates. Because Workday has the best cloud-based offering, the company will continue to add to its client roster which already includes the likes of Amazon, Netflix, Bank of America, and Home Depot.

Tyler Technologies is another software company, but they serve state and local governments in the United States. In fact, they are the only major company focused *exclusively* on this public sector market. Since 2002, Tyler has grown revenues at an annualized rate of 13% and earnings per share at a rate of 25%. Tyler still has a lot of room to grow as it has a share of just 13% of its current addressable market and there are still thousands of government entities using decades-old software systems.

Although these government customers wait for decades to update their software systems, when its finally time, most of them have chosen and will continue to choose Tyler. Unless Tyler seriously screws up a customer relationship, these are customers that will be with the company for decades or indefinitely. I say "indefinitely" in all seriousness because: (1) Tyler's customer retention is already at 98% and (2), with the advent of the cloud and software-as-a-service, it is now *much* easier and less expensive for a customer to have a piece of software that comes with frequent updates. There should be no good reason for a customer to ever leave Tyler.

Because the lifetime value of a Tyler customer is extraordinarily high, the company has invested heavily over the years to acquire new customers. On an accounting basis, these investments have been a constant pressure on operating margins. But as Tyler's revenues grow, there will be significant operating leverage: operating margins are 16% right now and can go up another ten percentage points over the next decade.

REFLECTING ON 2018

The past year was a volatile one. On the investment side, performance in the first three quarters was outstanding and then a disheartening fourth quarter dropped overall performance to nearly zero. However, I am pleased that Andvari's composite performance was positive against the market's negative performance.

On the personal side, in January I moved from Atlanta to Durham, North Carolina with my wife Leann so she could get a lung transplant from Duke University Hospital. After thirty-plus years of cystic fibrosis, Leann's lungs had reached the end of their usefulness. I visited Leann nearly every day for the nearly 70 days she was in the hospital pre- and post-transplant. I would have been there every day had I not gotten stress-induced shingles.

It was an amazing day when Leann was discharged in May. Leann could more easily do the simple things in life, like dressing herself for the day or shopping for groceries, without feeling exhausted. We also did some big things. Leann was able to visit her sister and her niece in Charleston several times. Leann and I vacationed in Ashville, where we honeymooned and where my sister and brother-in-law now live. We could start thinking about our future in terms of years now that Leann had a shot at not being in the hospital every few months like she was pre-transplant.

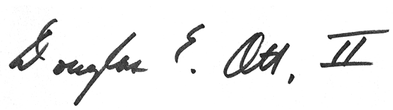
And then Leann suddenly got an infection which her body couldn't fight. She died on November 1 after being admitted to the emergency room on October 31. I spoke at Leann's funeral service (I've attached my speech to the end of this letter). I moved back to Atlanta in December.

Life during the past year would have been so much more challenging without the love and support of my family, friends, and clients. I'm thankful to everyone who expressed their condolences, especially to those who checked in on me multiple times and to those who shared with me some of their own deeply personal stories. It's an amazing world where people, some of whom you've never even met, give you their time to help ease your pain.

As a passionate cyclist who worked his butt off to go from beginner to somewhere near the vicinity of semi-professional, I will always remember the saying, "It doesn't get easier, you just get faster." One can say something similar about life. It doesn't get easier, you just get more experience. There will always be different challenges ahead of us. Beyond mountains, there are mountains.

I look forward to the future and I am grateful to have a meaningful part in the lives of my clients.

Sincerely,



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In Memory of Leann

Tuesday, November 6, 2018
Douglas Ernest Ott, II

Marrying Leann and becoming a husband to her was and has been the most challenging, frightening, rewarding, and fulfilling time of my life. We came to love each other for who we were and who we weren't. She was a beautiful and unique human being. She was a book worm, she was funny, she was serious. She was my Snack Queen. She suffered no fools. She loved her family.

She had also become so powerful, so special, as a result of an arduous journey with cystic fibrosis. The Roman statesman and philosopher Seneca said, "A gem cannot be polished without friction, nor a man perfected without trials." Leann had certainly become a gem by the time we first met.

But I didn't marry Leann just because of my love for her. I also married her because of her family and friends. Scot, Karen and Emma *were* and *are* loving and supportive. I *enjoyed* being around them.

And when we were dating, Leann and I attended a few weddings where I met even more of her wonderful friends and family. Nicole and Mitch's wedding, and Benji and Amy's. Everyone was fun to be around. I wanted to be a part of Leann's individual, specific life, and I also wanted to become a part of the extended Rittenbaum and Cooper families.

The *only* thing I struggled with in the months leading up to my decision to propose to Leann was whether I was crazy to want to marry this beautiful person who had an awful genetic disease. Where I knew the odds of having a "normal" life were very low. Spending weeks in the hospital with my wife was guaranteed. Lung transplant? Most likely. Pre-deceasing me? Most likely.

But I went ahead anyways. Marrying Leann was the most emotional and optimistic thing I've ever done in my life. Even though some parts of our future were frighteningly more clear than other parts, it was still not set in stone. And if Fate decided to challenge us, I knew she and I could persevere not only because of our own strength and resilience, but also because we had the steadfast support of family and friends.

So it's one thing to *be* strong and resilient, but *how* exactly does that happen? I just want to share some thoughts on how Leann and I were able to be strong in the face of our challenges.

One of the most important facts about life is that we can categorize everything into two buckets. One bucket contains the innumerable things we *cannot* control. The other bucket contains the few things we *can* control. Leann and I understood there were many things outside of our control. So we did our best to not worry and fret about them.

This simplified life for us. It enabled us to focus on what *is* important and *within* our control. Love for each other. Love for family. Supporting each other. Living and laughing together.

So, the most important thing *within* our control is that we get to *choose* how to react to situations.

Victor Frankl was an Austrian neurologist and psychiatrist, as well as a Holocaust survivor. After his experiences, he wrote beautifully about the importance of finding meaning in all forms of existence, even the most brutal ones. He wrote, "Everything can be taken from a man but one thing: the last of human freedoms—to choose one's attitude in any given set of circumstances, to choose one's own way."

This is not an original thought. Shakespeare wrote in 1603, "Nothing either good or bad, but *thinking* makes it so." Marcus Aurelius, a Roman emperor and Stoic philosopher in the second century A.D. said, "Choose not to be harmed—and you won't feel harmed. Don't feel harmed—and you haven't been."

Although Leann certainly did not study stoic philosophers or enjoy reading about history like me, I believe she came to this way of thinking organically, through her own life experiences, like so many other amazing people since the dawn of civilization.

I pose these questions to us all. Do we choose to step up to the plate or do we shrink away? Do we choose what is expedient, or what is right but difficult? Do we choose to make the best of a bad situation or do we wallow in misery?

Leann *knew* she had choices in every situation. Although it was often not easy, she *chose* to have a positive attitude. To be the best she could be in any circumstance. To do the right thing. To love her family and friends. Leann embraced the game of life, and as the rules changed for her, she adjusted without complaint.

I urge us all to embrace this way of being.

May we always remember Leann and hold her in our hearts.